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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

Seasonals

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Last Week's S&P 500 Index:
-0.1%

Key takeaways

- *The financial media will be buzzing with "sell in May and go away" conversation and speculation.*
- *We believe investors should be carrying a full allocation in the stock portion of their portfolios.*

Over the course of a long career based on trying to figure out where the stock market is going and how it is going to get there, this strategist has crossed paths with many old market bromides and trading cliches—from the "January effect" to the "Santa Claus rally" and everything in between. Sometimes investors want to be sure to put funds to work just prior to the best month of the year. You might be interested to know that since January 1950, the best month for the Dow Jones Industrial Average (DJIA) has been April with an average gain of 1.9%. For the S&P 500 Index, the best month has been December with an average gain of 1.6% over that same time frame.

This week let's take a look at what is behind the old saying that suggests investors should "sell in May and go away." But why should we go away in May? And how long should investors go away? Until mid-October appears to be the general consensus, but for the sake of sticking to full months, we will use November 1. And we have supporting statistics based on DJIA performance data published in the *2019 Stock Trader's Almanac*.

From January 1950 through the end of 2017 (the most current full year of published data), the six best months of the year for the DJIA, in order from best performer to worst, on average have been April, December, November, July, March, and January. The average performance ranged from +1.9% to +0.9%. The average performance of the other six months ranged from +0.7% to -0.7%. Those of you with a little grey hair, including this strategist, are sure to recall some harrowing stock market downside volatility that seemed to frequently occur in the month of September and last through the first week or two of October. Of course, it is always easier to remember the month that seems to somehow be a magnet for big downside moves based on some type of panic or uncertainty in stocks; it's just uncanny how often September has been a bad month for the market over the years.

To make this seasonality more useful and implementable, investors look at the period starting November 1 through the following April 30. Granted, this period includes the month of February (0.2% gain on average), which is one of the worst performers, but does not include July (1.2% gain on average), which is one of the best performers. This six-month period has produced the vast bulk of the gains in the S&P 500 over the given 1950 through 2017 time frame. That six-month period has produced gains, on average, of 7.5% (excluding dividends). That return may not sound spectacular, but when one considers that the other six months of the year starting May 1 and ending October 31 averaged a gain of just 0.6% (once again, excluding dividends), it starts to look a lot more interesting. For those investors who pay attention to "seasonals," it doesn't get much better than that.

While we keep the history of seasonal tendencies in the back of our equity-strategy minds, there are many other factors we consider when contemplating recommendations and allocating funds. Based on our current analysis and expectations, we continue to believe investors should remain fully allocated to the stock portion of their portfolio.

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